

RELATIVE MOMENTUM REVISITED

The majority of momentum studies focus on individual stocks, and most practical applications of relative strength momentum similarly use individual stocks. Because of its popularity, we will also look at applying momentum to individual stocks. Fortunately, the folks at AQR Capital Management LLC maintain readily accessible and freely available momentum-based stock index data on their website.⁸

The AQR Momentum Index is composed of the top one-third of the 1,000 highest capitalization U.S. stocks based on 12-month relative strength momentum with a one-month lag. AQR weights its index positions based on market capitalization. It adjusts its positions quarterly.

Table 9.2 shows the results of the AQR Momentum Index, the Russell 1000 Index, and 12-month absolute momentum (with aggregate bonds as a safe harbor) applied to the Russell 1000 Index from when the AQR momentum indexes began in January 1980.

Table 9.2 AQR Momentum, Russell 1000, and Absolute Momentum, 1980–2013

	AQR Momentum	Russell 1000	Russell 1000 with Abs Mom
Annual return	15.14	13.09	15.92
Annual std dev	18.27	15.51	12.57
Annual Sharpe	0.51	0.49	0.80
Max drawdown	–51.02	–51.13	–23.41

AQR estimates transaction costs of 0.7% per year for its AQR Momentum Index. These are not accounted for in its index returns or in Table 9.2.

We see that the AQR Momentum Index gave higher returns than the Russell 1000 Index, but that it also had higher volatility over this 33-year period. The Sharpe ratios and maximum drawdowns of the two indexes are comparable. Accounting for the 0.7% per year in additional transaction costs